

Pricing Teardown

Sample deliverable · the format, not a real client

1. What you charge for

Before the number, the metric. Per-seat is the default because it is easy to bill, not because it is right. It works only when value genuinely scales with headcount. If your product gets more valuable with usage, data volume or transactions, per-seat caps your revenue and punishes your best customers.

2. The compounding test

As a customer succeeds wildly with your product, does your invoice grow? If the answer is no, you have built a business that must keep winning new logos just to stand still. Every pricing decision downstream of this one is cosmetic.

3. The lowest-risk experiment in software

A 10-15% price rise applied to new customers only. Existing accounts are untouched, so there is no churn risk, and the increase flows straight to the bottom line. Most teams discover the market absorbs it without comment.

4. What I look for in a package structure

- ? A clear reason to move between tiers that maps to how customers actually grow
- ? No feature gating that punishes the behaviour you want to encourage
- ? A top tier that a power user could genuinely outgrow, rather than a ceiling everyone hits on day one
- ? Pricing that reads as positioning: what you charge tells the market what you are